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DJIA 42518.28 ▲ 221.16 0.52% NASDAQ 19044.39 ▼ 0.2% STOXX 600 508.28 ▼ 0.1% 10-YR. TREAS. ▲ 4/32, yield 4.787% OIL \$77.50 ▼ \$1.32 GOLD \$2,677.50 ▲ \$4.00 EURO \$1.0309 YEN 157.97

What's News

Business & Finance

- ◆ **The SEC sued** Elon Musk over allegations that he misled shareholders about his purchases of Twitter stock, escalating the agency's long-simmering feud with the billionaire. **A1**
- ◆ **U.S. stocks ended mixed**, with the S&P 500 and Dow advancing 0.1% and 0.5%, respectively and the Nasdaq retreating 0.2%. **B11**
- ◆ **Prices charged by** American producers for their goods and services rose by a softer-than-expected 0.2% in December. **A2**
- ◆ **BlackRock executive** Mark Wiedman, viewed as a top candidate to succeed Chief Executive Larry Fink when he retires, decided to leave the firm. **B1**
- ◆ **JPMorgan Chase named** Jennifer Piepszak as its new chief operating officer and said Chairman and CEO Jamie Dimon's top ally, Daniel Pinto, plans to retire. **B1**
- ◆ **U.K. antitrust officials** said they were investigating Google over its search services and how they might affect competition in the country. **B2**
- ◆ **BP said it expected** to book impairments of \$1 billion to \$2 billion in the fourth quarter while upstream production is expected to fall. **B2**
- ◆ **Asset manager Ashford** agreed to settle SEC allegations that it made misleading disclosures about a cyberattack. **B4**
- ◆ **The CFPB sued** Capital One, alleging the bank misled some customers by not paying them the rate it advertises on its main savings account. **B10**
- ◆ **Rashida Jones stepped down** as president of MSNBC as Comcast prepares to spin off the network. **B3**

World-Wide

- ◆ **Defense Secretary** nominee Pete Hegseth conceded he wasn't perfect but dismissed an onslaught of questions about his character and qualifications as a "smear campaign" irrelevant to the job. **A1**
- ◆ **Special counsel** Jack Smith said in a report that prosecutors believed they had enough evidence to convict Trump for his efforts to overturn his 2020 loss at the polls had they not been forced to drop the case after his re-election in November. **A1**
- ◆ **Los Angeles residents** braced for another round of heavy winds, fearful that new blazes could complicate efforts to contain the wildfires that have left at least 25 dead. **A7**
- ◆ **South Korean authorities** arrested and detained impeached President Yoon Suk Yeol, over his brief declaration of martial law last month. **A9**
- ◆ **The U.S. imposed** stronger measures to limit Chinese advances in artificial intelligence, including requiring companies to get government approval to export certain information about their AI models. **A3**
- ◆ **Denmark informed** Trump's team that it is willing to negotiate military and economic deals related to Greenland provided the talks take place behind closed doors. **A18**
- ◆ **The Biden administration** said it would remove Cuba from the U.S. list of state sponsors of terrorism as part of a deal to free political prisoners on the island. **A10**
- ◆ **The FDA proposed** a rule that would require food manufacturers to flag certain information on labels on the front of product packages. **A3**

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Pete Hegseth appeared before the Senate Armed Services Committee, vowing to restore the U.S. military's 'warrior culture.'

Hegseth Weathers Fiery Hearing, Denies Misconduct Allegations

Confirmation of Trump's Pentagon pick is still on track; Ernst backs nominee

By NANCY A. YOUSSEF AND LINDSAY WISE

WASHINGTON—Pete Hegseth, President-elect Donald Trump's pick to lead the Defense Department, conceded Tuesday that he wasn't perfect and "people see me as the host of a morning show," but he dismissed an onslaught of questions about his character and qualifications as a "smear campaign" irrelevant to the job of running the military.

Instead of a decisive showdown between Hegseth and the Democrats, his Senate Armed Services Committee hearing amounted to an inconclusive standoff with neither side yielding ground, a result that fed expectations that he would be confirmed. Shortly after the session ended, Sen. Joni Ernst (R., Iowa), seen by Hegseth backers as a pivotal GOP lawmaker, said she would vote for the nominee.

In the hearing, Hegseth vowed to restore the military's "warrior culture," declaring his service as a junior National Guard officer in Iraq, Afghanistan and the U.S. military prison at Guantanamo Bay, Cuba, would bring a needed re-

focus to a Pentagon he claimed was concerned more with diversity and equity than lethality and readiness.

"It is time to give someone with dust on his boots the helm. A change agent," the former Fox News host said, halting his opening statement several times as protesters disrupted the proceedings.

Over four hours of at-times heated questioning, Democrats charged that Hegseth would alienate female service members and potential recruits, and his personal conduct and lack of experience disqualified him to be defense secretary. But they didn't uncover any new information or prod Hegseth into any major mistakes.

"He is probably the least qualified individual ever suggested to be the secretary of Defense in my tenure, and perhaps in the history of the country," said Sen. Jack Reed of Rhode Island, the top-ranking Democrat on the committee.

Republicans called for forgiving his personal transgressions because he would fix a military weakened by its "woke culture."

Invoking his faith, his love for his wife and his devotion to veterans, Hegseth proved mostly unflappable under Democrats' questions about reports of his heavy drinking, extramarital affairs and other incidents. He dismissed the

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Report Suggests Trump Conviction Was Likely

Special counsel was confident jury would find president-elect guilty in election case

By SADIE GURMAN

WASHINGTON—Special counsel Jack Smith defended his decision to bring charges against Donald Trump over his efforts to overturn his 2020 election loss, writing in a report released early Tuesday that prosecutors believed they had enough evidence to convict him had they not been forced to drop the case after his re-election in November.

"Indeed, but for Mr. Trump's election and imminent return to the Presidency, the Office assessed that the admissible evidence was sufficient to obtain and sustain a conviction at trial," Smith wrote in the 174-page report, the release of which marks the end of an unprecedented chapter in U.S. history.

Smith dismissed the federal election-interference case and one alleging Trump unlawfully retained classified documents, citing longstanding Justice Department policy prohibiting the prosecution of a sitting president.

"While we were not able to bring the cases we charged to trial, I believe the fact that our team stood up for the rule of law matters," Smith wrote in the report, which Attorney General Merrick Garland sent to Congress just before 1 a.m. Tuesday, shortly after a court order barring its disclosure expired. "The facts, as we uncovered them in our investigation and as set forth in my Report, matter," Smith said.

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Balance of Power Shifts Back to Bosses

By KONRAD PUTZIER AND LAUREN WEBER

On the surface, the job market looks as strong as ever. Beneath the surface, workers are getting a very different message: Their bosses are back in command.

Big companies are tightening remote-work policies, shrinking travel budgets and cutting back on benefits. On Friday, JPMorgan Chase told employees that most hybrid workers would have to come back to the office five days a week starting in March. Amazon.com ordered employees back to the office full time starting this month, and Dell Technologies did the same for its sales team last fall. Companies

are slashing perks such as college-tuition assistance and time off for a sick pet.

The moves show how the balance of power between employers and employees has shifted as the labor market has gone from white-hot to merely solid.

From 2020 to 2022, pandemic labor shortages pushed wages up sharply, and those who left one job could easily find another. The rate at which workers quit surged, and unemployment fell in early 2023 to 3.4%, the lowest in more than 50 years.

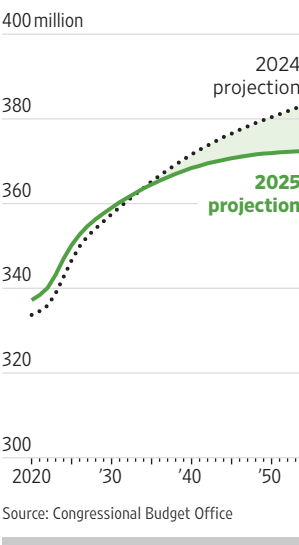
Unemployment has since risen to 4.1% in December. Meanwhile, the ratio of vacant jobs to jobless workers has

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Population Slowdown

Deaths are expected to exceed births in the U.S. by 2033, according to a forecast. **A3**

U.S. population forecast



Source: Congressional Budget Office

SEC Sues Musk Over Purchases Of Twitter Stock

By DAVE MICHAELS AND ALEXA CORSE

The Securities and Exchange Commission on Tuesday sued Elon Musk over allegations he misled shareholders about his Twitter stock purchases, escalating the agency's long-simmering feud with the billionaire.

The SEC's lawsuit, filed in federal court in the District of Columbia, says Musk's delayed disclosure of his ownership allowed him to save more than \$150 million on buying Twitter stock.

The late disclosure hurt in-

vestors who sold at artificially low prices because they didn't know about Musk's plans, the SEC says.

The lawsuit comes after a long investigation that Musk sometimes delayed by not appearing for testimony. Musk, now closely aligned with President-elect Donald Trump, will likely ask the commission's next leader to withdraw the case, teeing up a major test of the agency's independence from the White House.

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◆ **China explores sale of** TikTok in U.S. to Musk... **A9**

Beijing Reins In Financial Sector

Xi uses purges and pay cuts in campaign against capitalist excess

By REBECCA FENG AND CHUN HAN WONG

Chinese leader Xi Jinping is bringing the country's financial sector to heel, one banker at a time.

For decades, China sought to learn from Western finance. Now it's purging many of the internationally experienced financiers who helped steer the country's economic rise, while ushering in a new generation of loyal functionaries willing to carry out Communist Party edicts and disavow capitalist excess. Financial heavyweights

sidelined or purged under Xi include a former Deutsche Bank rainmaker who helped some of China's largest companies go public; the longest-serving chairman of a leading Chinese asset manager; and several bankers who played influential roles in developing China's financial industry during the 1990s and 2000s.

The purges are being paired with other steps aimed at diluting pro-market instincts in China's financial industry.

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◆ **EU says China blocks its** companies unfairly..... **A8**

INSIDE



PERSONAL JOURNAL
Get ready for more obstacles to your access to airport lounges. **A11**

BUSINESS & FINANCE
Meta to eliminate 5% of its workers as Zuckerberg vows to 'raise the bar.' **B1**

Adults Hit the Arcade to Make A Grab for a \$3,600 Hermès Bag

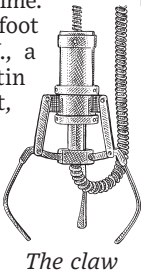
Childhood favorite games get a makeover, giving players a chance to nab pricey prizes

By JASMINE LI

Gatcha may be the only place on Earth where patrons can score an Hermès bag for \$50. The only requirement is a lightning-fast reaction time.

At the 9,000-square-foot arcade in Queens, N.Y., a \$3,600 Hermès Picotin bag, \$600 Chanel wallet, and \$549 Apple AirPods Max headphones are among the prizes players can take home if they're quick with a button.

Arcades around the country are adding big-ticket prizes to the childhood claw machine and modern itera-



The claw

tions. Entrepreneurs are following the lead of East Asian arcades and targeting a lucrative market of "kidult" consumers—adults willing to spend big to reconnect with their inner child. The upgrade has raised the stakes in the age-old battle between players and an industry known to mint very few winners.

Gatcha owner Jason Lian says the Hermès bag sat in a smash-the-button machine for a month before somebody ultimately won it in 12 attempts, or \$600. But a \$4,200 Louis Vuitton backpack

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